

Session 10. Designing governance for effective decision-making: private and family controlled firms

At the end of this session, you must be able to: explain why family firms outperform peers in crises and over the long run, and name the five HBR explanations; describe the three governance levels (ownership, corporate, operating) and the situations where governance becomes critical; weigh the costs and benefits of structured governance; characterize the peculiarities, strengths and weaknesses of family-owned firms; describe the generational transition challenge, its key figures, causes of traumatic succession and tools for managing it; distinguish the holding BoD from the operating BoD in roles and agendas; state the good practices of effective boards; explain the role of outsiders and independent directors; and describe the move towards managerialization.

Plan

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1. Why family firms matter: the HBR evidence

- Evidence (HBR, 2012): family firms **outperform peers during crises** (resilience) and **in the long run**.
- Five key explanations: 1. **Financial discipline**: frugality in good and bad times, limited capex, low leverage. 2. **Strategic caution**: fewer and smaller acquisitions. 3. **Diversification**: broader ownership-driven risk spreading. 4. **Global orientation**: stronger internationalization via exports. 5. **People advantage**: higher talent retention compared to competitors.

2. The three governance levels

Ownership governance: the owner(s) define vision, values, and ultimate control.

Corporate governance: the Board of Directors, balancing executive and non-executive directors, provides oversight and strategic guidance.

Operating governance: the Top Management Team executes the strategy and runs daily operations.

In family firms, governance is in fact structured on several levels (with some overlap):

- **The company:** Board of Directors (operating companies), executive committees (formal or informal).
- **Ownership:** holding's Board, chairman/CEO of the holding, informal committees.
- **Family:** family board/committee, periodic family meetings.

3. When governance becomes critical

Four situations make structured governance critical:

- **Growth and success:** strengthen decision-making capability, reinforce the corporate structure, build and consolidate reputation (to support alliances and international expansion).
- **Tensions and conflicts:** introduce governance mechanisms to manage conflicts (family vs non-family) and prevent interpersonal tensions from absorbing entrepreneurial and managerial focus.
- **Ownership changes:** growing number of family members (succession), entry of other families or external shareholders, entry of financial investors (e.g. private equity).
- **Generational factors:** aging of the company leader, need to plan generational succession, heirs requesting access and clear entry rules.

4. Costs and benefits of effective governance

- Designing a good corporate governance structure has **costs**: time, resources, professional advice.
- But also great **benefits**:
 - stronger and more effective decision-making;
 - better risk monitoring and control;
 - improved reputation and credibility with stakeholders;
 - easier to attract and retain strategic partners;
 - reduced family tensions and conflict management;
 - greater clarity in family-business relationships.

5. Peculiarities of family-owned firms

- **Relational culture:** personal ties and reciprocal knowledge prevail over formal business rules.
- **Concentration and stability:** family members involved; long-term orientation.
- **Role overlap:** ownership, governance and management often concentrated in the same individuals.
- **Diverse objectives:** ownership carries both economic and emotional goals.
- **High personal investment:** significant share of personal wealth tied to the business.
- **Exit barriers:** financial and emotional costs hinder divestment.
- **Local roots:** strong attachment to the territory of origin.

6. The "good" and the "bad" of family firms

The "good":

- **Patient capital:** focus on long-term goals over short-term returns.
- **Emotional commitment:** strong involvement of owners, managers and employees.
- **Stable corporate culture:** stakeholders' identification, lower turnover, stronger cohesion.
- **"Social capital":** accumulation of trust, reputation and moral resources.
- **"Unique" resources:** ability to leverage distinctive, hard-to-imitate assets.
- **Continuity and resilience:** stable leadership, quicker decisions, stronger response in crisis.

The "bad":

- **Resource appropriation:** use of company assets for family interests.
- **Nepotism and bias:** favoritism, distorted leadership selection, misuse of assets.
- **Conservatism:** risk aversion, resistance to change.
- **Conflict management burden:** excessive time spent on emotions and family disputes.
- **Generational risk:** uncertainty in succession and leadership transition.

7. The variety of family businesses and the drift towards managerialization

- Family businesses vary along two dimensions: **ownership structure** (narrow closed-family, extended closed-family, open-family) and **firm size** (small, medium, large). Combinations range from family BoD + family management (small, narrow) to non-family BoD + "professional" management (large, open).
- Growth pushes towards **managerialization** through: opening (of ownership and management), differentiation of roles, and generational "drift".

8. Generational transition: figures, risks, dilemmas

Key figures:

- **18% vs 9%:** share of family firms that declared a need for generational transition in 2011-2016 vs those that actually made it (AUB, Istat).
- **13%:** share of family firms reaching the third generation (Family Firm Institute).
- **23%:** family firms led by a CEO/executive chairman over 70 (Osservatorio AUB, 2015-2018).
- **49%:** entrepreneurs who NEVER retire.
- **Survival rates:** 30% survive the transfer from 1st to 2nd generation; 15% from 2nd to 3rd.

Generational transition: not just a change of individuals, but a critical life-cycle event. It is both a risk and an opportunity to rethink ownership structures, redesign governance mechanisms, and review organizational and strategic choices.

Causes of a **traumatic** generational transition:

- sudden loss or unavailability of the entrepreneur;
- no heirs willing to continue the business;
- appointment of unfit heirs due to "family logic";
- irreconcilable conflicts among family members.

The founder's succession dilemma (specific issues of founder succession):

- **Charismatic leadership:** the founder is strongly identified with the company and fears losing authority and control.
- **Founder-shaped business model:** strategy, structure and leadership reflect the founder's personality and have never been tested in his or her absence.
- **Succession inexperience:** limited experience in handling generational transitions; high uncertainty in ensuring continuity.

Generational transition with **multiple successors** (the challenge: choosing the heir among several candidates). Three tools:

- **Merit-based selection:** evaluate skills, competences and values.
- **Non-family leadership:** appoint an external professional manager.
- **Parallel ventures:** create or acquire new businesses to allocate among different heirs.

Governance as a tool to manage transitions (Carlock & Ward, 2010): as ownership moves from entrepreneurial owner to second generation to (more) family branches, governance activity escalates: board of directors, ownership agreement, family meetings, family agreements, family committee, family office, family foundation.

9. Holding BoD vs operating BoD

Holding-level BoD - two blocks of responsibilities:

- **Corporate and group responsibilities:** financial oversight (approve balance sheets, capital increases, acquisitions, transfers); group governance (act as owner in subsidiaries, appoint directors and auditors of operating companies); strategic monitoring (approve plans and budgets, assess performance across the group); legal duties (fulfil law and statutory obligations).
- **Family-related responsibilities:** family agreements (draft, apply, review rules and shareholder agreements); next-gen development (support education, career orientation, assess suitability of heirs); family in management (decide on promotions, compensation, exits); family-firm interface (mediate and manage family-business relationships).

Operating BoD - core roles:

- Appoint CEO and senior management; define powers and compensation.
- Approve strategic decisions, business plans and programs; monitor execution.
- Submit proposals to shareholders/holding BoD (strategy, balance sheet, profit distribution).
- Comply with legal and statutory duties.

Operating BoD - typical agenda:

- strategic and investment planning (2-3 years);
- budgets and interim/annual results;
- mergers, acquisitions, partnerships;
- major projects and extraordinary investments;
- assessment/promotion of top managers and family members;
- appointment of CEO and chairman.

10. Effective boards: composition, functioning, leadership

- **Composition:** balance of executive and non-executive directors; independence and competence.
- **Size and frequency:** 7-9 members; at least 6 meetings per year (half a day).
- **Agenda and preparation:** annual calendar focused on strategic issues; advance distribution of materials; about **3 hours of preparation for each hour of meeting**.
- **Board culture:** active, engaged, not just a "rubber stamp".
- **Decision-making:** clear voting rules (simple vs qualified majority for critical decisions) and distribution of power to avoid dominant influence.
- **Meeting management:** trustful climate, open debate, formal minutes by the secretary, periodic self-assessment.
- **Role of the chairman:** defines the agenda with the CEO, moderates debate and summarizes views, decides when to vote and close decisions.
- **Challenges:** accepting structured governance (vs informal style) and agreeing on "investing" in the BoD; balancing multiple roles (family member, manager, board member); investing adequate time and embracing constructive criticism.

Summing up governance design for family firms:

- **Ownership governance (family board):** educate and prepare next generations; define transparent criteria to access the ownership coalition; promote stewardship and long-term orientation.
- **Family-firm relationship management:** manage interactions between family and non-family directors; combine formal boards (BoD) with informal bodies (e.g. strategic/advisory committees).
- **Top management team:** balance roles of family and professional managers; establish a management committee for coordination and decision-making.

11. Outsiders and independent directors

- Why outsiders matter: they increase transparency, open governance to external views, and reduce the "closed system" risk typical of (Italian) family firms. Mario Draghi (2010) noted that Italy's distinctive feature is not just widespread family ownership but that **management also lies in the hands of the owner family**, making corporate structures "impenetrable to third parties".
- Three types of outsiders:
 - family members **not involved** in the business;
 - **affiliated** non-family directors;
 - **independent** non-family directors.
- Contributions of outside directors in three areas:
 - **Control:** stimulate discipline and closer monitoring; protect against conflicts of interest; safeguard minorities.
 - **Strategy:** bring expertise, strengthen decision-making, support managerialization, enhance stakeholder relations.
 - **Family-firm relationship:** succession planning, next-gen training, less emotional and more professional conflict management.

12. Towards managerialization

- Entrepreneurial firms are often managed in a largely entrepreneurial way: flexible, stakeholder-oriented, highly participatory.

- Weaknesses: oversimplified or non-formalized structures; unclear roles and responsibilities (ambiguity and inefficiency); committees and working groups often long, inconclusive, lacking agenda and minutes.
- Managerialization at the top requires a careful assessment and re-design of the organizational structure, of managers' profiles and behaviors, and in general the overall evolution of the company towards a modern management model.

13. Common mistakes and exam traps

- Saying family firms underperform: the HBR evidence is the opposite (they outperform in crises and in the long run) - the point is that this coexists with structural weaknesses (nepotism, conservatism).
- Mixing up the survival rates: 30% survive the 1st-to-2nd generation transfer, 15% the 2nd-to-3rd; 13% reach the third generation; 49% of entrepreneurs never retire.
- Confusing holding BoD and operating BoD: the holding BoD carries BOTH corporate/group and family-related responsibilities; the operating BoD appoints and oversees management and approves plans and budgets.
- Treating all outsiders as independent directors: the three types (uninvolved family members, affiliated non-family, independent non-family) play different roles.
- Presenting governance as free: the session insists on its costs (time, resources, professional advice) alongside its benefits.
- Forgetting that generational transition is an opportunity too: rethink ownership, redesign governance, review strategy - not only a risk.
- Quoting the 3-hour rule upside down: about 3 hours of preparation per hour of meeting.

14. Must know absolutely

Must know:

- Family firms outperform in crises and in the long run; 5 HBR explanations: financial discipline, strategic caution, diversification, global orientation, people advantage.
- Three governance levels: ownership (vision, values, control), corporate (BoD oversight and guidance), operating (TMT execution); in family firms add the family level (family board, family meetings).
- Governance becomes critical with growth/success, tensions/conflicts, ownership changes, generational factors; it has costs but large benefits.
- "Good": patient capital, emotional commitment, stable culture, social capital, unique resources, continuity/resilience. "Bad": resource appropriation, nepotism, conservatism, conflict burden, generational risk.
- Key figures: 30% / 15% survival rates; 13% reach 3rd generation; 23% leaders over 70; 49% never retire; 18% vs 9% declared vs actual transitions.
- Traumatic succession causes: sudden loss, no willing heirs, unfit heirs by "family logic", irreconcilable conflicts. Tools with multiple successors: merit-based selection, non-family leadership, parallel ventures.
- Holding BoD: corporate/group + family-related responsibilities; operating BoD: appoint CEO, approve plans/budgets, monitor execution.
- Effective board: 7-9 members, 6+ meetings/year, 3h prep per meeting hour, not a rubber stamp; chairman sets agenda with CEO, moderates, closes decisions.
- Outsiders reduce "closed system" risk; independent directors bring objectivity to control,

strategy and family-firm relations; managerialization = re-design of structure, profiles and behaviors.

Watch Out

Watch out: role overlap (ownership + governance + management in the same individuals) is listed as a **peculiarity** of family firms - it is the root cause of several "bad" outcomes (nepotism, appropriation) but also of strengths (commitment, quick decisions). Exam questions often ask you to link causes to effects.

Watch out: the frameworks and quotes of this session (HBR 2012, Carlock & Ward 2010, Draghi 2010, AUB/Istat figures) are citable evidence: associate each figure with its source.